

27th February, 2014

The Chief Executive Officer
Nairobi Stock Exchange
The Exchange
55 Westlands Road
NAIROBI



Attn: Mr. Peter Mwangi

Dear Sir,

RE: EQUITY BANK GROUP AUDITED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER, 2013

We wish to publish our audited financial statements for the year ended 31st December, 2013. The financial statements have been duly approved by the Central Bank of Kenya and the bank's Board of Directors.

Subject to approval of shareholders at the Annual General Meeting scheduled for 26th March, 2014 at KICC Nairobi at 10.00 am, the directors have recommended a first and final dividend of Kshs.1.50/= per each ordinary share of Kshs.0.50/= for the year ended 31st December, 2013. The proposed dividend will be paid to shareholders on the register of members of the company at the close of business on Friday 14th March, 2014.

The following documents are enclosed for your information;

- a) A copy of audited financial statements for the year ended 31st December, 2013;
- b) Statement of changes in equity for the year ended 31st December, 2013;
- c) Statement of cash flows for the year ended 31st December, 2013.

We take this opportunity to express our appreciation for your support and cooperation.

Yours faithfully
EQUITY BANK LIMITED



Dr. James Mwangi, CBS
Group Managing Director & CEO

EQUITY BANK GROUP AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES AS AT 31ST DECEMBER 2013



STATEMENT OF FINANCIAL POSITION

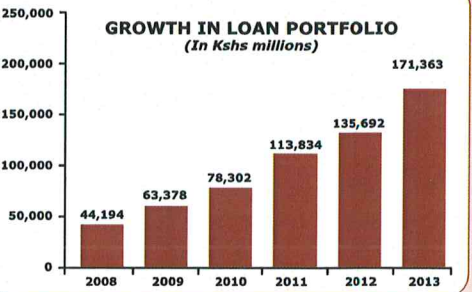
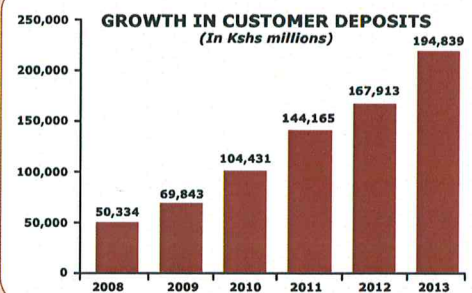
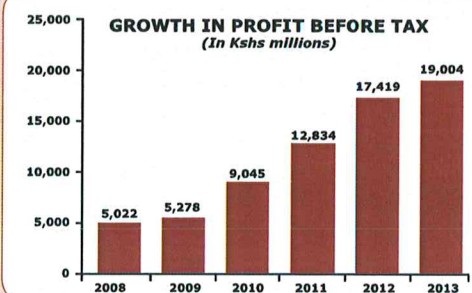
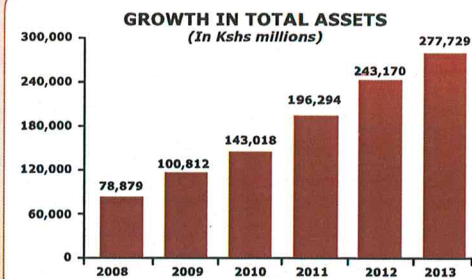
	BANK		GROUP CONSOLIDATED	
	31st Dec 2012	31st Dec 2013	31st Dec 2012	31st Dec 2013
	Shs. '000' (Audited)	Shs. '000' (Audited)	Shs. '000' (Audited)	Shs. '000' (Audited)
A. ASSETS				
1. Cash (both Local & foreign)	4,878,652	4,779,647	7,703,654	7,965,319
2. Balances due from central Bank of Kenya	13,395,120	6,228,764	13,395,120	6,228,764
3. Kenya Government and other securities held for dealing purposes	-	-	-	-
4. Financial Assets at fair value through profit and loss	-	-	-	-
5. Investment Securities: (a+b)	32,791,694	32,949,454	41,101,360	44,571,810
a) Held to Maturity: (i+ii)	23,644,217	22,593,951	31,975,883	33,990,146
i. Kenya Government securities	22,796,317	21,726,051	30,863,453	31,726,051
ii. Other securities	847,900	867,900	1,112,420	1,264,095
b) Available for sale: (i+ii)	9,125,477	10,355,503	9,125,477	10,581,664
i. Kenya Government securities	9,125,477	10,355,503	9,125,477	10,372,893
ii. Other securities	-	-	-	208,771
6. Deposits and balances due from local banking institutions	9,941,086	7,019,840	9,997,868	7,059,696
7. Deposits and balances due from banking institutions abroad	7,252,137	3,902,296	14,037,451	13,273,755
8. Tax recoverable	-	469,728	-	549,912
9. Loans and advances to customers (net)	122,410,013	152,028,916	135,692,125	171,343,429
10. Balances due from banking institutions in the group	983,421	1,062,493	2,386	122,000
11. Investments in associates	1,113,049	1,113,049	1,456,447	1,574,434
12. Investments in subsidiary companies	8,204,101	10,283,692	-	-
13. Investments in joint ventures	-	-	-	-
14. Investment properties	8,494	8,494	8,494	8,494
15. Property and equipment	6,529,844	6,941,581	9,071,802	9,795,938
16. Prepaid lease rentals	4,138	4,092	292,358	179,870
17. Intangible assets	1,122,641	1,542,421	2,301,522	2,955,178
18. Deferred tax asset	744,341	701,340	819,876	939,063
19. Retirement benefit asset	-	-	-	-
20. Other assets	6,450,569	9,158,339	7,234,765	11,141,156
21. TOTAL ASSETS	215,829,300	238,194,354	243,170,458	277,728,818
B. LIABILITIES				
22. Balances due to Central Bank of Kenya	-	-	-	-
23. Customer deposits	140,285,671	158,527,016	165,812,458	194,620,593
24. Deposits and balances due to Local banking institutions	2,100,325	218,084	2,100,325	218,084
25. Deposits and balances due to Foreign banking institutions	-	-	-	-
26. Other money market deposits	-	5,127	-	318,042
27. Borrowed funds	25,755,053	25,607,185	26,568,809	26,731,049
28. Balances due to group companies	-	-	-	-
29. Tax payable	2,257,874	-	2,345,036	64,210
30. Dividends payable	16,246	20,777	18,246	20,777
31. Deferred tax liability	-	-	38,122	2,148
32. Retirement benefit liability	-	-	-	-
33. Other liabilities	2,742,368	3,129,243	3,353,074	4,198,144
34. TOTAL LIABILITIES	173,187,537	187,607,432	206,284,970	226,173,047
C. SHAREHOLDERS' FUNDS				
35. Paid up/Assigned capital	1,851,388	1,851,388	1,851,388	1,851,388
36. Share premium/(discount)	12,161,021	12,161,021	12,161,021	12,161,021
37. Revaluation reserve	(731,853)	(730,059)	(1,372,213)	(1,361,730)
38. Retained earnings/ Accumulated losses	24,308,413	31,271,829	25,034,934	32,590,061
39. Statutory Loan Loss reserve	454,323	578,577	544,733	734,945
40. Other Reserves	-	-	-	-
41. Proposed dividends	4,628,471	5,556,166	4,628,471	5,554,166
42. Capital grants	-	-	46,054	25,720
43. TOTAL SHAREHOLDERS' FUNDS	42,471,743	50,484,922	42,916,586	51,555,971
44. TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	215,829,300	238,194,354	243,170,458	277,728,818

STATEMENT OF COMPREHENSIVE INCOME

	BANK		GROUP CONSOLIDATED	
	31st Dec 2012	31st Dec 2013	31st Dec 2012	31st Dec 2013
	Shs. '000' (Audited)	Shs. '000' (Audited)	Shs. '000' (Audited)	Shs. '000' (Audited)
1. INTEREST INCOME				
1.1 Loans and advances	25,383,447	24,811,111	27,471,533	27,740,003
1.2 Government securities	2,794,769	3,115,914	3,020,913	3,566,623
1.3 Deposits and placements with banking institutions	311,683	347,590	271,147	399,233
1.4 Other interest income	1,628	25,628	84,254	183,745
1.5 Total Interest Income	28,490,527	28,310,243	30,847,947	31,889,624
2. INTEREST EXPENSES				
2.1 Customer deposits	4,736,298	3,212,365	5,166,764	3,970,850
2.2 Deposits and placements from banking institutions	140,999	32,741	258,598	105,110
2.3 Other interest expense	1,507,610	1,375,373	1,458,452	1,323,073
2.4 Total Interest Expenses	6,384,907	4,620,479	6,883,814	5,399,033
3. NET INTEREST INCOME	22,111,618	23,689,764	23,964,133	26,490,591
4. NON-INTEREST INCOME				
4.1 Fees and commissions income on loans & advances	3,282,313	4,048,517	3,540,952	4,474,134
4.2 Other Fees and commissions income	5,187,917	5,648,491	6,309,445	6,713,988
4.3 Foreign exchange trading income	696,827	897,368	1,900,459	1,844,074
4.4 Dividend income	180,078	958,302	5,195	882,279
4.5 Other income	415,915	475,068	1,087,295	1,432,222
4.6 Total Non-Interest Income	9,763,080	12,047,744	12,843,344	15,370,697
5. TOTAL OPERATING INCOME	31,874,698	35,737,510	36,807,477	41,861,288
6. OPERATING EXPENSES				
6.1 Loan Loss Provision	1,455,875	1,835,613	1,608,316	2,401,942
6.2 Staff costs	5,884,522	7,386,110	7,145,470	9,024,259
6.3 Directors' emoluments	20,110	18,679	26,887	27,751
6.4 Rental charges	844,935	839,084	1,440,912	1,576,272
6.5 Depreciation on property and equipment	1,734,133	1,783,761	2,028,200	2,203,209
6.6 Amortisation charges	283,953	316,088	287,775	323,060
6.7 Other operating expenses	5,589,533	5,325,303	7,021,225	7,154,373
6.8 Total Operating Expenses	15,815,061	17,364,438	19,578,865	22,710,864
7. Profit/(loss) before tax and exceptional items	16,059,637	18,373,072	17,228,612	19,150,424
8. Profit/(loss) after exceptional items	16,059,637	18,373,072	17,228,612	19,150,424
9. Current tax	(5,568,537)	(5,548,044)	(5,878,980)	(5,881,763)
10. Profit/(loss) after tax and exceptional items	10,491,100	12,825,028	11,349,632	13,268,661
11. Other Comprehensive Income				
11.1 Gains/(Losses) from translating the financial statements of foreign operations	-	-	(74,000)	(13,810)
11.2 Fair value changes in available for sale financial assets	330,281	1,795	330,281	1,795
11.3 Revaluation surplus on Property, plant and equipment	-	-	(2,298)	-
11.4 Share of other comprehensive income of associates	-	-	-	-
11.5 Total Other Comprehensive Income	330,281	1,795	256,283	1,795
12. Income tax relating to components of other comprehensive income	(330,281)	(1,795)	(256,283)	(1,795)
13. Total Comprehensive Income for the year net of tax	11,327,100	12,443,433	12,333,238	13,268,661
14. Earnings per Share - (Shs)	2.97	3.41	3.26	3.59
15. Dividend per Share - (Shs)	1.25	1.50	1.25	1.50

OTHER DISCLOSURES

	BANK		GROUP CONSOLIDATED	
	31st Dec 2012	31st Dec 2013	31st Dec 2012	31st Dec 2013
	Shs. '000' (Audited)	Shs. '000' (Audited)	Shs. '000' (Audited)	Shs. '000' (Audited)
1) NON PERFORMING LOANS AND ADVANCES				
a) Gross non performing loans and advances	4,018,405	8,188,895	4,312,567	9,246,423
b) Less Interest in suspense	1,227,189	1,425,539	1,257,238	1,716,180
c) Total Non-Performing loans and advances (a-b)	2,791,216	6,763,356	3,055,329	7,530,243
d) Less Loan loss provision	1,982,429	2,475,579	2,099,320	3,218,541
e) Net non-performing loans (c-d)	808,787	3,887,778	956,009	4,311,702
f) Discounted value of securities	630,798	3,521,231	778,019	3,945,156
g) Net NPLs Exposure (e-f)	177,989	366,547	177,990	365,546
2) INSIDER LOANS AND ADVANCES				
a) Directors, shareholders and associates	3,464,360	1,358,461	3,464,360	1,358,461
b) Employees	394,249	4,234,094	3,541,462	4,749,698
c) Total Insider Loans and Advances and other Facilities	6,858,609	5,792,555	7,005,822	6,108,159
3) OFF BALANCE SHEET ITEMS				
a) Letter of Credit, guarantees, acceptances	5,166,588	10,900,759	6,029,673	12,670,019
b) Forwards, Swaps and Options	8,873	55,208	8,873	562,821
c) Other contingent Liabilities	2,294,355	3,108,900	2,294,355	3,902,123
d) Total contingent Liabilities	7,469,816	14,064,767	8,332,901	17,134,963
4) CAPITAL STRENGTH				
a) Core Capital	29,524,772	34,758,600	-	-
b) Minimum statutory capital	1,000,000	-	-	-
c) Excess/(deficiency)	28,524,772	33,758,600	-	-
d) Supplementary capital	15,216,709	9,392,601	-	-
e) Total Capital (a+d)	44,741,481	44,151,201	-	-
f) Total Risk Weighted Assets	168,659,773	187,346,170	-	-
g) Ratios				
h) Core Capital/ Total Deposit Liabilities	20.7%	21.9%	-	-
i) Minimum statutory ratio	8.0%	8.0%	-	-
j) Excess/(deficiency) (g-h)	12.7%	13.9%	-	-
k) Core Capital/ Total Risk Weighted Assets	19.9%	18.6%	-	-
l) Minimum statutory Ratio	8.0%	8.0%	-	-
m) Excess/(deficiency) (j-k)	11.9%	10.6%	-	-
n) Total Capital/ Total Risk Weighted assets	30.1%	23.6%	-	-
o) Minimum statutory Ratio	12.0%	12.0%	-	-
p) Excess/(deficiency) (m-n)	18.1%	11.6%	-	-
5) LIQUIDITY				
a) Liquidity Ratio	44.0%	34.0%	-	-
b) Minimum statutory Ratio	20.0%	20.0%	-	-
c) Excess/(deficiency) (a-b)	24.0%	14.0%	-	-



These financial statements are extracts from the books of the institution as audited by Ernst & Young and received unqualified opinion. The complete set of audited financial statements, statutory and qualitative disclosures can be accessed on the Institution's website www.ke.equitybankgroup.com. They may also be accessed at the institutions head office located at Equity Centre 9th floor Hospital Road Upperhill.

Signed: DR. JAMES MWANGI, CBS
CHIEF EXECUTIVE OFFICER/MANAGING DIRECTOR

Signed: MR. PETER K. MUNGA, CBS
CHAIRMAN

EQUITY BANK LIMITED
STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2013

For the year ended 31 December 2013

As at January 2013

Total comprehensive income:

Profit for the year

Other comprehensive income

Loan reserve transfers

Dividends:

Final for 2012 paid

Proposed for 2013

	Share capital	Share premium	Retained earnings	Loan loss reserve	Available for sale reserve	Proposed dividend	Total equity
	1,851	12,161	24,308	454	(732)	4,629	42,671
	-	-	12,642	-	-	-	12,642
	-	-	(124)	124	2	-	2
	-	-	-	-	-	(4,629)	(4,629)
	-	-	(5,554)	-	-	5,554	-
At 31 December 2013	1,851	12,161	31,272	579	(730)	5,554	50,687

For the year ended 31 December 2012

As at January 2012

Total comprehensive income:

Profit for the year

Other comprehensive income

Loan reserve transfers

Dividends:

Final for 2011 paid

Proposed for 2012

	1,851	12,161	17,974	420	(1,062)	3,703	35,047
	-	-	10,997	-	-	-	10,997
	-	-	-	-	330	-	330
	-	-	(34)	34	-	-	-
	-	-	-	-	-	(3,703)	(3,703)
	-	-	(4,629)	-	-	4,629	-
At 31 December 2012	1,851	12,161	24,308	454	(732)	4,629	42,671

EQUITY BANK LIMITED
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 DECEMBER 2013

<i>In millions of Kenya Shillings</i>	Bank	
	2013	2012
Cash flows from operating activities		
Net profit before taxation	18,232	16,060
Adjustments for:		
Depreciation	1,784	1,734
Amortisation of intangible assets	316	284
Unrealised exchange (gains) / losses	(60)	(288)
Loss / (Profit) on disposal of Property and equipment	(3)	(6)
Provision for non-performing loans	1,836	1,456
Share of profit of associate	-	-
Dividends received	-	-
Interest on term borrowings	1,375	1,508
Operating profit before working capital changes	23,480	20,748
Loans and advances	(31,454)	(17,380)
Other assets	(2,787)	(1,495)
Finance lease receivable	-	-
Customer deposits	16,359	16,893
Due from related parties	-	-
Other liabilities	391	573
Cash generated from operations	5,989	19,339
Income taxes paid	(8,276)	(3,728)
Net cash generated from / (used in) operating activities	(2,287)	15,611
Cash flows from investing activities		
Purchase of property, equipment & prepaid leases	(2,192)	(2,236)
Purchase of intangible assets	(736)	(331)
Proceeds from sale of property and equipment	3	22
Additional capital injected into subsidiaries	(2,080)	(1,532)
Dividend received	-	-
Purchase of investment securities	(10,060)	(17,091)
Proceeds from sale of investments securities	9,902	14,829
Net cash used in investing activities	(5,163)	(6,338)

EQUITY BANK LIMITED
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 DECEMBER 2013

Dividend paid	(4,629)	(3,703)
Proceeds from long term borrowings	719	13,745
Repayment of long term borrowings	(862)	(1,759)
Interest paid on term borrowings	(1,375)	(1,508)
Net cash (used in) / generated from financing activities	(6,147)	6,775
Net (decrease) / increase in cash and cash equivalents	(13,597)	16,047
Effect of foreign exchange differences	60	290
Effect of foreign currency translation reserve on cash and cash equivalents	-	-
Cash and cash equivalents at the beginning of the year	35,467	19,130
Cash and cash equivalents at the end of the year	21,930	35,467